

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$234.56 ▼ 4.20%	12M Price Target \$275.00	52-Week Range \$196.00 – \$278.56	Market Cap \$2.52T
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AMZN: Buffett's Berkshire Dumps, But Options Traders Loading Up

WHAT HAPPENED

- AMZN dropped 4.2% today on unusually LOW volume (only 13M shares vs 30M+ typical) — that's odd. Low volume selloffs often mean it's not panic selling, just a lack of buyers stepping in. The Greg Abel/Berkshire headline probably spooked people ("if Buffett's guy is selling, why should I hold?"), but Berkshire's AMZN position was always tiny and symbolic.
- Two bearish reads hitting at once: FreightWaves flagged weak housing hurting big-and-bulky delivery (think appliances, furniture — Amazon's fastest-growing logistics category), plus the Yahoo piece on tech's "AI debt boom" is making people nervous about how much cash hyperscalers are borrowing to build AI data centers.

WHY IT MATTERS

Here's what I think is really going on: the market is starting to question whether the massive AI capex (\$100B+ across hyperscalers) will actually generate returns, and AMZN gets lumped in with that anxiety. But the options flow is screaming the opposite direction — put/call ratio of 0.51 (twice as many bullish bets as bearish) plus unusual call buying at \$190-195 strikes tells me sophisticated money is positioning for a bounce, probably ahead of Q2 earnings in early August. The Berkshire sale is noise, not signal — Abel is rebalancing a portfolio he inherited, not making a fundamental call on Amazon. Watch for: if AWS growth comes in above 18% next earnings, this dip gets bought aggressively; if it prints 15% or lower, we could see \$215.

POLICY & POLITICAL WATCH

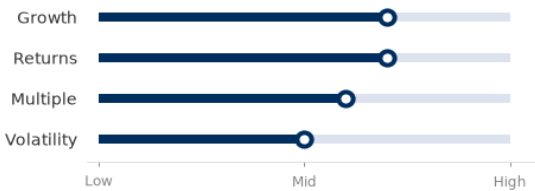
The big one is tariffs — the Trump administration's China tariff framework is still being negotiated, and Amazon's third-party sellers (60% of units sold) are heavily China-sourced. Any escalation directly hits margins because sellers either eat costs or raise prices (which kills volume). On the friendlier side, the FTC under the current admin has quietly deprioritized the Khan-era antitrust case against Amazon, which removes a major overhang that was weighing on the stock through 2024-2025. Also watch the AI infrastructure permitting reform bill — if it passes, AWS can build data centers faster, which is a direct competitive advantage.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$234.56
12M Price Target	\$275.00
Upside / (Downside)	+17.2%
Market Cap	\$2.52T
FY2026E Revenue	\$748M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	34.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$245.00	\$220.00
6 Months	\$295.00	\$265.00	\$215.00
1 Year	\$320.00	\$275.00	\$205.00
2 Years	\$380.00	\$310.00	\$200.00
5 Years	\$500.00	\$400.00	\$220.00
10 Years	\$750.00	\$550.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.9% today, +5.8% week) — money is rotating into cyclical/inflation-hedge names as investors worry AI spending is a bubble. Industrials also strong, benefiting from onshoring/infrastructure themes.

COOLING OFF: Technology (-0.5%) is losing near-term steam despite Alphabet's earnings — even good AI news isn't lifting the boat, which suggests investors want to see actual AI revenue, not just capex.

ROTATION WATCH: Classic defensive/value rotation happening — money leaving mega-cap tech (AMZN, NVDA both weak today despite GOOGL beating) and moving into energy, industrials, and healthcare. This is a "sell the winners, buy the laggards" trade that usually reverses within 2-4 weeks.

RELATED PLAY: If you like the AI infrastructure thesis but want less consumer exposure, data center REITs (DLR, EQIX) and power infrastructure (VST, CEG) benefit from the same AWS spending without the retail overhang.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Beat on earnings this week, cloud growth accelerating — proves enterprise AI spend is real, which is a positive read-through for AWS.
- YELP (Yelp): Popped 8% on OpenAI licensing deal — shows content/data licensing to AI models is becoming a real revenue stream, which Amazon can play through its own Bedrock platform.

AMZN CONTEXT: AMZN is lagging its mega-cap tech peers this week, which is unusual — typically when GOOGL beats, AMZN rallies in sympathy ahead of its own print. The disconnect suggests the market wants to see the numbers before rewarding the stock. That's actually a decent setup: low expectations + oversold + bullish options flow = asymmetric risk/reward into earnings.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$228-235 on this pullback, add more at \$215

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or retail margins collapse from tariffs

Hedging: Buy protective puts at \$220 strike or pair with short position in a stretched retail name like WMT